

BEFORE THE
FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

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'95 JUL 18

In re: PETITION OF)
)
BALTIC SHIPPING COMPANY PLC,)
)
Petitioner)

No. P4-95

PETITION OF BALTIC SHIPPING COMPANY PLC
FOR RECLASSIFICATION AS A NON-CONTROLLED CARRIER

BALTIC SHIPPING COMPANY PLC ("Baltic PLC"), an ocean common carrier with principal offices in St. Petersburg, Russian Federation, hereby submits this Petition for Reclassification under the Ocean Shipping Act of 1984, 46 U.S.C.App. §1701 et seq. (the "Act"). For the reasons shown below, Baltic PLC should not be classified as a controlled carrier under Section 9 of the Act. Baltic PLC accordingly seeks action by the Commission to reclassify Baltic PLC and remove it from the list of controlled carriers subject to the proscriptions of Section 9 of the Act.

Background

On January 21, 1980, the Federal Maritime Commission classified Baltic Shipping Company ("BSC") as a "Controlled Carrier" pursuant to the Ocean Shipping Act of 1978 (P.L. 95-483). BSC, originally established in 1835, was in 1980 a state-owned juridical entity of the then-existing Soviet Union. Pursuant to the changes in the law of the Russian Federation adopted in 1990, BSC was reorganized as a "lease-owned enterprise," being a privately-owned

juridical entity carrying on economic activity by means of state property (ships, etc.) taken on lease. This change did not affect BSC's classification as a controlled carrier.

Petitioner Baltic PLC was organized and established in 1992 pursuant to Russian Federation government resolution No. 601, dated December 25, 1990, and the Russian President's Decree No. 721, dated July 1, 1992 (see Affidavit of Grigoriy Dmitryevich Filomonov, President of Baltic PLC, at ¶ 4, submitted herewith). In accordance with the order of Kirovskiy District head of administration of St. Petersburg Mayoralty, Baltic PLC was registered at St. Petersburg, Russian Federation, on November 12, 1992, under statute No. 994-ПДГ as a public limited company (*i.e.*, corporation). Its approved registry number is A964-06/92-1231 (see Certificate of Registration, Exhibit A to Affidavit, ¶ 4).¹

Baltic PLC is the juridical and legal successor of the former lease-owned enterprise BSC (Affidavit, ¶ 5). Baltic PLC has continued common carrier services of BSC, and operates vessels under the Russian flag in the U.S. trades (Affidavit, ¶ 15).

As a public limited company, Baltic PLC is owned by and subject to the control of its shareholders (Affidavit, ¶ 7). Baltic PLC has full and unrestricted rights to define its management form and to make its own commercial and financial decisions regarding such matters as capital formation, trade, pricing, labor conditions and profit distributions. (Affidavit, ¶ 6).

¹ Exhibits to the Affidavit are submitted in the original Russian language with an attached English translation. For ease of reference, the translations precede the original Russian language versions in the Exhibits.

All matters concerning Baltic PLC's internal corporate governance are regulated by its By-Laws. The By-Laws provide that the shareholders have the exclusive right to vote on, and exclusive authority over, major corporate decisions such as nomination and election of the Board of Directors and amendments to the By-Laws (see By-Laws, Exhibit B to Affidavit, at §10.8, and Affidavit, ¶ 8). Shareholders' meetings are held annually, with special or extraordinary meetings convened as needed. By-Laws, § 10.2; Affidavit, ¶ 9.

Baltic PLC's By-Laws authorize a capital amount of up to 3,177,859,000 Rubles. The company has a stock issuance of 3,177,859 ordinary shares, with the par value of each share being 1,000 Rubles (Affidavit, ¶ 10). Each share grants its holder a right to dividends and the right to vote at the general shareholders' meeting on a one-share, one-vote basis (By-Laws, §§ 3.1, 4.6, and 10.4). As of June 20, 1995, 37.7% of the shares of Baltic PLC were owned by individual shareholders, comprised mainly of present and former employees of Baltic PLC, and 32.61% of the shares were owned by private corporations (Affidavit, ¶ 11). The remaining shares are temporarily held by the St. Petersburg Committee for Municipal Property Management (25.5%) and by the St. Petersburg Property Fund (4.19%) (Affidavit, ¶ 11c). Pursuant to the State privatization program of the Russian Federation, the St. Petersburg Committee is required to sell the Baltic PLC shares it holds by November 12, 1995 to individuals or other private interests.

The management of Baltic PLC is comprised of a Board of Directors and a Board of Management. The members of the Board of Directors are nominated and elected solely and exclusively by the shareholders (Affidavit, ¶¶ 8, 12). The Board of Directors appoints the

officers of the Company and the members of the Board of Management, which functions as an executive committee (By-Laws, § 12.3). None of the directors, and neither the Chief Executive Officer nor the Chief Operating Officer of the Company, are appointed or subject to the approval of the Russian Federation or any instrumentality thereof (Affidavit, ¶ 16).

Discussion

The Shipping Act of 1984, 47 U.S.C. 3(a), defines a "Controlled Carrier" as follows:

An ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by the government under whose registry the vessels of the carrier operate; ownership or control by a government shall be deemed to exist with respect to any carrier if:

(a) a majority portion of the interest in the carrier is owned or controlled in any manner by that government, by any agency thereof, or by any public or private person controlled by that government; or

(b) that government has the right to appoint or disapprove the appointment of a majority of the Directors, the Chief Operating Officer, or the Chief Executive Officer of the carrier.

As shown above and by the supporting documents, a majority of the shares of Baltic PLC are owned and controlled by individuals and private corporations, and not by the Russian Government (Affidavit, ¶ 11). Private shareholders have the right to approve or disapprove the appointment of the Board of Directors and the Chief Executive Officer of Baltic PLC, not the Russian Federation (Affidavit, ¶ 16).

In further support of this Petition, Baltic PLC responds to the specific areas of inquiry previously promulgated by the Commission as being pertinent to the determination of controlled carrier status:

1. The U.S. trades served or proposed to be served:
 - Bilateral cargo between Russia and the U.S., and cross-trade cargo between the U.S. and North European and Baltic states.
2. The vessels and flag of registry operated or proposed to be operated in the U.S. trades:
 - M/V Sverdlovsk
M/V Ulan Bator
M/V Budapesht
M/V Nikolay Krylenko
M/V A. Starostenko
M/V I. Derbenev
 - All vessels are registered under the Russian flag at the Port of St. Petersburg.
3. Are Baltic PLC's operating assets directly or indirectly owned or controlled by a government under whose registry Baltic PLC's vessels operate?
 - No.
4. Does a government, under whose registry any of Baltic PLC's vessels operate, have the right to appoint or disapprove the appointment of a majority of the directors or the chief executive officer of Baltic PLC?
 - No.

5. Responses concerning ownership interests:

- A. The following is a list of every person, corporation and entity having a five (5) percent or greater interest in Baltic PLC.
- St. Petersburg Committee for Municipal Property Management 25.5%
- B. Name of any person holding a shareholder interest for the benefit of another, and the name of the beneficial owner.
- St. Petersburg Committee for Municipal Property Management (for the beneficial ownership of the residents and citizens of the St. Petersburg District of the Russian Federation)
- C. Affiliation of any names listed in 5(a) or 5(b) that are associated or affiliated with any government, etc.
- St. Petersburg Committee for Municipal Property Management: Acts as public trustee for management and ultimate private disposition of property and assets in the St. Petersburg District of the Russian Federation that had been subject to State ownership prior to adoption and implementation of privatization decrees by the Russian Federation.
6. Any recent structural or operational changes that would be a basis for BSC to be excepted from regulation under Section 9(f) of the 1984 Act.
- Petitioner Baltic PLC was organized in 1992 as a public limited company. It is the successor in

interest to the former state-owned and lease-owned Baltic Shipping Company, to whose assets it now holds title. Petitioner Baltic PLC is, however, independently and privately owned and managed by its shareholders.

Conclusion

Baltic PLC should not be classified as a controlled carrier as defined by Section 3(a) of the Shipping Act of 1984. Accordingly, Petitioner Baltic Shipping Company PLC respectfully requests that the Federal Maritime Commission delete Baltic PLC from the Commission's list of controlled carriers.

DATED: July 14, 1995

Respectfully submitted,

A handwritten signature in cursive script, appearing to read "S. B. Chameides", written over a horizontal line.

Steven B. Chameides
Attorney for Petitioner,
Baltic Shipping Company PLC